



Buying Tips

- ✓ **SECURITY:** Data should be stored in a secure format, and access to it should be configured to a high level.
- ✓ **BACKUP AND RESTORE:** A facility to backup and restore using external storage devices such as a CD writer, Zip drive, etc., should be built into the software.
- ✓ **REPORTS:** Reports should be available at various levels and in various formats. An inbuilt report writer eases the creation or modification of existing reports.
- ✓ **IMPORT AND EXPORT:** The application should be able to import data from other packages, as well as export data in standard formats. Choose an accounting package keeping in mind the fact that you will be using it for a number of years.

Quick Find

YOU NEED

Basic accounting software

Basic Use

LOOK FOR

Software that provides trial balance, profit and loss accounts and balance sheets

YOU NEED

A complete business solution

Inter Use

LOOK FOR

Add-on modules such as production, inventory, order processing, and management information system modules

Types of Account

- Bank:** Identifies the account as a bank account.
- Accounts Receivable:** Identifies the account as being a receivable account. Receivable accounts are used for providing customers with a line of credit. Multiple receivable accounts may be defined. For example, you may wish to separate regular receivables from government or commercial receivables.
- Other Current Assets:** Identifies the account as being a current asset other than a bank type account or a receivable type account. A prepaid bill is an example of a current asset.
- Fixed Asset:** Identifies the account as being a fixed asset. Fixed assets include such things as buildings and land.
- Other Asset:** Identifies the account as being an asset other than a current asset or a fixed asset.
- Accounts Payable:** Identifies the account as being a payable account. A payable account is used for the purchase of products. Multiple payable accounts may be defined.
- Credit Card:** Identifies the account as being a credit card account—for company credit cards.
- Other Current Liability:** Identifies the account as being a current liability other than a payable account or a credit card account. Federal tax payable is an example of a liability account.
- Income:** Identifies the account as being a standard income account. Sales accounts are all income accounts.
- Cost of Goods Sold:** Identifies the account as a cost of goods sold account. When a product is sold, the inventory is reduced by

- the cost of the goods sold. The cost of goods sold account keeps track of your total sales costs.
- Expense:** Identifies the account as being a standard expense account. Expense accounts are for all expenses such as fuel, power, water, rent and staff costs.
- Other Income:** Identifies the account as being a non-standard income account.
- Other Expense:** Identifies the account as being a non-standard expense account.

Types of Report

- Trial Balance:** The Trial Balance is a simple listing of the nominal (also called general ledger) accounts, with the debit balances posted into a debit column, and the credit balances posted into the credit column. It ensures that for every debit amount there are equal credit amounts in the nominal or general ledger, and vice versa. It plays a key part in ensuring that every recorded movement of value has an explanation in the nominal or general ledger.
- Balance Sheet:** It provides a snapshot of the business at a particular moment in time. It shows what the business owns (assets), balanced against what the business owes (liabilities), and these amounts must be equal—a business is merely a device to hold value and carry out a purpose on the behalf of others.
- Profit and Loss Account:** The profit and loss account looks at how well the company has traded over a time period. It basically shows how much the firm has earned and how much it has paid out in costs (production, salaries, etc). The net of these two is the amount of profit they've earned—except that it's shown in detail.

Do Remember

- You need to know basic accounting principles to use accounting software.
- Accounting data is stored as normal files, and is exposed to the same risks as any other file on the computer—for example, accidental deletion.
- Some software support vector accounting, which allows you to split up and distribute expenses under multiple categories.
- You can even find Web-based accounting software, the advantages being, first, global access of your data around the world at the click of the mouse, and second, even if your computer crashes, you do not lose the data. The disadvantage is that there is a possibility of data being stolen, although with 128-bit encryption it is less likely.



The Future

Accounting packages have evolved from basic accounting software to complete business solutions that incorporate field-specific modules. Unfortunately, certain accounting packages have become cumbersome and confusing, in an attempt to cater to the needs of diverse users. However, there are a few that are more focused in their approach, and come across as comprehensive packages. This is because they were developed after a thorough understanding of users' needs.